

Trial Transcript Day Four: Damages Experts

October 9, 2025 — economic evidence

THE COURT: Members of the jury, expert testimony may assist you, but you remain the judges of facts and weight. Examine an expert's assumptions, sources, reasoning, and response to contrary evidence. A credential does not make an unsupported premise true.

MS. HOLT: Blue Ember calls Kellan Brooks.

CLERK: Mr. Brooks, do you swear that your testimony before this jury will be truthful?

MR. BROOKS: I do.

Q. Summarize your professional background.

A. I am a certified public accountant with a financial-forensics credential. My fictional practice has focused for twenty-one years on project cost, supply disruption, schedule loss, contribution analysis, and mitigation.

Q. Have you analyzed development-stage manufacturing disputes?

A. Yes. They require separating recorded cost from uncertain future expectations and avoiding overlap.

Q. How are you compensated?

A. At stated hourly rates regardless of result. My firm's payment does not depend on the verdict.

Q. Did you disclose prior testimony and publications?

A. Yes. They appear in the qualifications schedule supplied to both parties.

THE COURT: Mr. Brooks may testify within the disclosed accounting and damages scope.

Brooks assignment and sources

Q. What were you asked to do?

A. Trace Blue Ember's claimed cost, evaluate its bounded delay model, identify credits and ordinary expenses, and analyze how a Cobalt Finch finding would change the arithmetic.

Q. What did you review?

A. Agreements, custody and disposition materials, ledgers, invoices, budgets, forecast versions, campaign calendars, the Cobalt Finch offer and workplan, decision records, depositions, and Dr. Park's report.

Q. Did you assume the Court had already found breach?

A. I used liability and quality-causation assumptions to measure loss. The jury may reject them.

Q. Are you offering a biochemical opinion?

A. No. I accept the documented disposition for my economic model and leave product suitability to the fact evidence.

Q. Did you audit Blue Ember's financial statements?

A. No. This was a forensic engagement. I traced material amounts and tested relevant allocations rather than issuing assurance on the company as a whole.

Q. Were post-event forecasts automatically accepted?

A. No. I compared versions and relied primarily on planning created before the shipment.

Overall opinions

Q. What gross amount do you support?

A. 4.2 million dollars.

Q. Break it into categories.

A. The rejected lot is 1.35 million, replacement and related incremental work is 850,000, and bounded delay is 2 million. The first two total 2.2 million.

Q. Why use separate lines?

A. Each line rests on different records. Separation lets the jury change one input without confusing it with liability or another category.

Q. Does the total include punitive damages?

A. No.

Q. Does it include indefinite commercial sales?

A. No. The delay horizon is limited.

Q. Does it include attorney fees or my invoice?

A. No.

Q. Did you identify a duplicative insurance recovery?

A. No, through the latest disclosed information.

Q. If one appears later?

A. A payment for the same item should be credited once as the Court directs.

Q. Does your total include the proposed Cobalt Finch expenditure?

A. No, because it never occurred.

Q. Is prejudgment interest part of 4.2 million?

A. No. I did not calculate legal interest.

Q. Can the jury see your reconciliation rather than accept a single unexplained total?

A. Yes. Each category has a source schedule and bridge.

Cost embodied in the lot

Q. How did you reach 1.35 million dollars?

A. I reconciled the project ledger to 760,000 dollars of contracted production, 245,000 of materials, 185,000 of analytical and release service, and 160,000 of campaign-specific internal work.

Q. Do those amounts add to 1.35 million?

A. Yes.

Q. Did you rely only on declared value?

A. No. The declaration matched the total, but invoices and pre-event ledger entries supplied independent support.

Q. Did you include broad corporate overhead?

A. I excluded unsupported enterprise overhead and retained only the established project allocation tied to the campaign.

Q. What about salvage?

A. The material provided limited samples but no supported validation or revenue-producing value. I found no measurable credit.

Q. Did later destruction create the original cost?

A. No. The cost was already embodied. Destruction was a separate small replacement-related expense.

Q. Is this sales value?

A. No. It is traced cost for a development lot.

Q. Did you test whether those ledger entries predated the excursion?

A. Yes. The principal amounts had accumulated before Granite Heron accepted custody.

Replacement expense

Q. Explain the 850,000-dollar line.

A. It includes 555,000 dollars for replacement manufacturing service, 135,000 for repeated analytical and release work, 90,000 for incremental materials and logistics, 45,000 for specific technical labor, and 25,000 for disposition and controlled destruction.

Q. Did you count ordinary future work?

A. I removed activities that Blue Ember would have performed even without a rejected lot.

Q. Did you remove anything else?

A. Yes. Seventy thousand dollars of generalized management time lacked sufficient incremental support and was excluded.

Q. Is the original 1.35 million included again?

A. No. Original and replacement entries reconcile to different source transactions.

Q. Is the hypothetical 300,000-dollar Cobalt transfer included?

A. No. Blue Ember never spent it. That number belongs only in an alternative-path calculation if the jury accepts that path.

Q. Could a credit reduce this category?

A. Yes, if evidence shows the same replacement invoice was reimbursed or avoided.

Q. Are future ordinary campaign costs hidden in this line?

A. No. The schedule isolates duplicated or incremental work caused by replacing the lot.

Delay method

Q. How did you value delay?

A. I began with Blue Ember's August 2024 program plan, shifted the affected validation sequence to the actual replacement path, identified bounded milestone and contribution effects, subtracted avoided variable spending, and applied the program risk treatment used before the dispute.

Q. What did the calculation produce?

A. Approximately 2.04 million dollars, which I rounded down to 2 million.

Q. Why round down?

A. The inputs do not justify apparent precision to the last dollar.

Q. Does your model assume approval is certain?

A. No. It uses risk-adjusted development economics.

Q. Does it run until this trial?

A. No. It ends at a defined program recovery point.

Q. Did you add replacement invoices to the delay amount?

A. No. Time effects and direct costs are kept in separate schedules.

Q. Can the jury change the risk factor?

A. Yes. The workpaper shows the effect of a different supported assumption.

Q. Did you compare the model with actual project coding?

A. Yes. That comparison helped separate timing effects from direct vendor charges.

Forecast reliability

Q. Why consider a forecast for a development candidate?

A. Businesses use contemporaneous plans to allocate resources and evaluate milestones. A forecast is not a promise, but a dated, relied-upon plan can be evidence of expected economic effect.

Q. What reliability checks did you use?

A. I compared multiple versions, selected the lower pre-event volume assumption, removed a later upside case, and confirmed that the principal plan guided budgeting before September 12.

Q. Did you include retail medicine sales?

A. No. The model concerns collaboration and development economics during the bounded interval.

Q. What unrelated risks remain?

A. Technical performance, later manufacturing, financing, review, and market conditions. The internal risk adjustment addresses them rather than pretending they disappeared.

Q. Could the jury decide the forecast is still too uncertain?

A. Yes. My role is to explain why the selected model has a reasonable factual basis, not to replace the jury.

Q. Did later success prove the forecast?

A. No. I avoided using hindsight as certainty.

Economic causation window

Q. Did you examine other reasons for schedule movement?

A. Yes. I looked for a preexisting event that would require the same replacement interval and considered later unrelated developments.

Q. What did you find?

A. No earlier identified event required replacement of this validation lot before the excursion. Later risk remains in the probability adjustment.

Q. Does every day between September and March carry equal damage?

A. No. The model links only affected milestones and contribution consequences.

Q. If the quality rejection was unreasonable, what happens?

A. The economic model's causal assumption would fail or require revision.

Q. If Cobalt Finch was reasonable and likely to work?

A. Avoidable delay should be deducted net of incremental cost.

Q. Does mitigation change the cost already put into the original lot?

A. No. Earlier replacement can shorten time; it cannot restore the rejected asset.

Q. Why is modularity useful?

A. It prevents one contested decision from producing a hidden compromise across unrelated issues.

Q. Could the jury accept direct cost but reject delay?

A. Yes. The calculation does not force an all-or-nothing economic conclusion.

Brooks analysis of Cobalt Finch

Q. Was the Cobalt Finch slot real?

A. Yes.

Q. Was the organization generally capable?

A. Yes, based on Calder and the facility records.

Q. What uncertainty remained by October 4?

A. BE-214 document transfer, detailed equipment comparison, analytical assignment, sponsor approval, materials, training, engineering confirmation, and final readiness.

Q. What did Cobalt Finch call the risk?

A. Feasible with elevated schedule risk, without a numerical probability.

Q. How does that affect your opinion?

A. I cannot treat 1.8 million dollars of avoidance as an undisputed certainty. The jury can assess a partial or full amount from the evidence.

Q. Do you say the option had no value?

A. No. That would ignore genuine capacity and capability.

Q. Do you say Blue Ember was legally reasonable?

A. No. I explain the economic uncertainty and calculation; the Court supplies law and the jury finds facts.

Q. Did the offer establish a released lot by any fixed date?

A. No. It established a sequence of potential milestones subject to execution.

Q. Could the opportunity still justify some mitigation finding?

A. Yes. My schedule permits the jury to quantify any supported portion without adopting full certainty.

Mitigation sensitivities

Q. Explain the basic formula.

A. Determine gross loss likely avoided by the alternative, subtract reasonable incremental cost, and use the result as the net mitigation deduction, not below zero.

Q. If the jury accepts Granite Heron's numbers?

A. 1.8 million dollars avoided minus 300,000 cost equals a 1.5 million deduction, leaving 2.7 million from the 4.2 million gross base.

Q. If the net deduction is 300,000 dollars?

A. The resulting award is 3.9 million dollars.

Q. Give another illustration.

A. Nine hundred thousand dollars of gross avoidance less 300,000 cost produces a 600,000 net reduction and a 3.6 million result.

Q. Is that your predicted verdict?

A. No. It demonstrates transparent arithmetic.

Q. Should the 300,000 alternative cost be added to actual damages?

A. No. It was not incurred and appears only when evaluating the hypothetical.

Q. Should risk be subtracted twice?

A. No. The model must treat probability and cost consistently.

Q. Why show both gross avoidance and net reduction?

A. So the factfinder does not mistake an expense for a saving or reverse the subtraction.

Cross-examination of Brooks — assumptions

MR. MERCER: You are paid by Blue Ember's counsel?

MR. BROOKS: Yes, by the hour regardless of outcome.

Q. You assume the lot rejection was causally reasonable?

A. I use that as a disclosed economic premise.

Q. You did not perform the stability assay?

A. No.

Q. You did not operate the trailer?

A. No.

Q. Your direct-cost schedule uses Blue Ember's books?

A. It does, tested against invoices, ordinary allocation methods, and other records.

Q. This is not an audit opinion?

A. Correct.

Q. A jury could reject an allocation?

A. Yes.

Q. Your 4.2 million figure depends on all three categories?

A. Yes. Each can be assessed separately.

Q. If causation fails, the arithmetic does not create liability?

A. Correct.

Q. Are you qualified to interpret the words of the master agreement?

A. I can use assumed economic categories, but I do not give the Court a legal contract interpretation.

Q. Did you interview every Blue Ember employee?

A. No. I reviewed designated witnesses and financial custodians relevant to the schedules.

Q. Could incomplete records affect your view?

A. Yes. A materially missing source would require reassessment.

Q. Have you preserved the version used for this testimony?

A. Yes, including formulas and source references.

Cross-examination — direct cost

Q. Internal labor is not a third-party invoice, is it?

A. No. It is a contemporaneous project allocation tied to actual personnel effort.

Q. Some salaries would be paid anyway?

A. That is why I examined incremental relationship and excluded broad management time.

Q. Did every original-lot dollar become cash paid on September 12?

A. No. Cost accumulated over the campaign.

Q. Did Blue Ember obtain any knowledge from producing the lot?

A. Some learning occurs in any campaign, but no separately measurable credit supported reduction of the validation asset cost.

Q. Could research samples have value?

A. Theoretically. The record did not quantify a material economic benefit.

Q. Declared value equaled your conclusion?

A. Yes, but I traced the ledger independently.

Q. Is controlled destruction necessarily caused by transport?

A. My assumption links it to the disposition. If the jury rejects that link, it can remove the stated 25,000-dollar item.

Q. Could the jury also remove a particular internal allocation?

A. Yes. The itemized schedule shows the resulting subtotal rather than concealing it.

Q. Did you include depreciation on unrelated equipment?

A. No. No such broad asset charge appears in my opinion.

Cross-examination — delay model

Q. BE-214 had no approved commercial sales in 2024?

A. Correct.

Q. Forecast inputs are judgments?

A. Yes, grounded judgments rather than historical certainty.

Q. The carrier did not receive every forecast spreadsheet?

A. Not to my knowledge.

Q. Later scientific failure could eliminate the projected contribution?

A. Yes. The risk adjustment reflects a probability of nonachievement.

Q. Could another risk cause delay during the same period?

A. It could. I excluded identified unrelated effects and retained general uncertainty in the model.

Q. Why should the jury trust 2 million rather than zero?

A. Because a pre-event plan tied to concrete milestones has economic information even when discounted. The jury decides its weight.

Q. You rounded 2.04 down?

A. Yes.

Q. Did you calculate enterprise value?

A. No. The claim is narrower.

Q. Does the model assume every future milestone would occur on the earliest theoretical date?

A. No. It uses the pre-event working plan and its existing risk treatment.

Q. Could a different probability reduce the 2 million?

A. Yes, and the workpaper permits that sensitivity.

Q. Did Blue Ember ask you to include a speculative terminal value?

A. No. I excluded value outside the bounded period.

Q. Is rounding downward favorable to Blue Ember?

A. It modestly lowers the precise calculated figure.

Cross-examination — mitigation

Q. Cobalt Finch held genuine December capacity?

A. Yes.

Q. No fatal incompatibility was known?

A. None was identified in the preliminary material.

Q. Its proposed safeguards addressed uncertainty?

A. They created a process for addressing it, with the possibility of a no-go result.

Q. A reasonable business sometimes books before qualification is final?

A. Yes.

Q. The potential economic benefit exceeded 300,000 dollars?

A. Under the successful scenarios, yes.

Q. You did not assign a probability of success?

A. The record did not support one sufficiently to make my own point estimate reliable.

Q. Without a percentage, you assume uncertainty favors Blue Ember?

A. No. I say the jury should weigh evidence rather than treat full avoidance as certain.

Q. Could the jury accept Dr. Park's full deduction?

A. It could if it accepts her factual and probability judgments.

Q. Are you saying lack of a guarantee makes mitigation impossible?

A. No. Reasonable action always involves some uncertainty; the question is what amount the evidence supports.

Q. Did Blue Ember have more information than Cobalt Finch?

A. It possessed its own process documents and resource constraints, which informed its decision and could also support the defense analysis.

Redirect examination of Brooks

MS. HOLT: Did you hide uncertainty?

MR. BROOKS: No. My schedules show risk, assumptions, and alternative outcomes.

Q. Did you say development forecasts are guaranteed?

A. No. I used contemporaneous evidence and conservative exclusions.

Q. Did you count the same replacement invoice in delay?

A. No.

Q. Did you treat Cobalt Finch as imaginary?

A. No. I recognize a real option with real unresolved execution issues.

Q. If jurors find only part of the delay avoidable, can they calculate it?

A. Yes. They should identify gross avoidance and subtract the supported alternative cost once.

Q. Does your model require them to accept Blue Ember's decision because you were retained by Blue Ember?

A. No. They should test every assumption independently.

Q. What remains your gross opinion?

A. 4.2 million dollars before any mitigation reduction the jury finds.

Q. Does that opinion ask the jury to ignore Granite Heron's evidence?

A. No. It states the gross measure; the verdict form separately accommodates a supported reduction.

Q. Did you alter your source numbers during testimony?

A. No. The examples use the disclosed worksheet.

MS. HOLT: Blue Ember has no further questions for Mr. Brooks.

Dr. Elodie Park called out of order

THE COURT: The parties agreed Dr. Park may begin today for scheduling. Blue Ember has not formally closed its case. This accommodation does not change burdens.

MR. MERCER: Granite Heron calls Dr. Elodie Park.

CLERK: Dr. Park, do you swear to give truthful testimony in this proceeding?

DR. PARK: I do.

Q. Describe your expertise.

A. I have fictional graduate training in operations economics and twenty years analyzing constrained manufacturing, transfer schedules, expected cost, disruption, and loss reduction.

Q. What were you asked to evaluate?

A. Whether the Cobalt Finch path was an economically reasonable available alternative and what portion of Blue Ember's claimed delay it could avoid.

Q. Are you offering a stability opinion?

A. No.

Q. Do you assume transport causation for this analysis?

A. Yes, to isolate mitigation. Granite Heron's other causation arguments remain separate.

Q. How are you paid?

A. Hourly, independent of outcome.

Q. Are your prior testimony and written opinions disclosed?

A. Yes. The opposing party received my full qualifications and opinion bases.

Q. Did you calculate original-lot potency?

A. No. That scientific question lies outside operations economics.

Park's capacity assessment

Q. What makes the opportunity concrete in your view?

A. A real held suite, fixed decision deadline, identified team, preliminary fit, staged transfer plan, cost estimate, and readiness milestones.

Q. Does incomplete BE-214 qualification make it unavailable?

A. No. Site transfer commonly begins before program approval is complete. The remaining work informs risk and cost.

Q. Did you find a known fatal barrier?

A. No. Calder identified relevant platform capability and manageable categories for detailed review.

Q. How should a decision maker treat scarce capacity?

A. Reserving it can preserve an option while diligence continues. Waiting for perfect information may cause the option to disappear.

Q. Did Blue Ember face downside?

A. Yes: staged cost, staff diversion, possible audit or technical failure, and potential need to return to Aurora Quay.

Q. Why pursue it anyway?

A. The supported schedule benefit was large relative to the incremental exposure, and the proposal included stop criteria.

Q. Does reserving capacity itself eliminate technical diligence?

A. No. It preserves the opportunity while diligence proceeds under the workplan.

Q. Did you account for the possibility of sunk preliminary cost?

A. Yes. Staged downside forms part of my reasonableness assessment.

Park's schedule opinion

Q. Did you map the transfer tasks?

A. Yes. I linked the October gap review, site work, document and method activities, November engineering confirmation, readiness gate, December manufacturing, and later testing.

Q. Was the calendar aggressive?

A. Yes, but it allowed concurrent work without deleting necessary controls.

Q. What sponsor inputs were needed?

A. Prompt documents, materials decisions, technical personnel, and quality review.

Q. Could those resources be mobilized?

A. Blue Ember had a sophisticated development team and was already managing replacement. The record identifies no resource impossibility.

Q. Did you assume final release on December 2?

A. No. That was production start. My network carries testing and disposition after initial campaign completion.

Q. Was success guaranteed?

A. No. My opinion is that timely execution was materially more likely than complete failure or delay all the way to the March start.

Q. Is that based solely on hindsight?

A. No. It rests on the October documents and Calder's explanation of them.

Q. Did another sponsor's later booking drive your feasibility conclusion?

A. It corroborated scarce capacity only; it did not prove BE-214 process success.

Cost and avoided delay

Q. What incremental alternative cost do you use?

A. 300,000 dollars.

Q. Why is that not the full replacement price?

A. Blue Ember would pay ordinary replacement manufacturing at Aurora Quay or Cobalt Finch. The relevant comparison adds only transfer, qualification, and acceleration cost specific to the alternative.

Q. How much claimed delay would the earlier path avoid?

A. 1.8 million dollars of Brooks's 2 million category.

Q. Why leave 200,000 dollars?

A. Investigation, mobilization, some unavoidable schedule friction, and residual time would remain even with reasonable mitigation.

Q. Did you use Brooks's economic base?

A. Yes, conditionally. That prevents me from using an optimistic alternative against a differently adjusted actual model.

Q. Does your mitigation figure reduce direct lot cost?

A. No. It addresses time saved, not the rejected asset or ordinary replacement subtotal.

Q. Do Granite Heron's separate damages challenges disappear?

A. No. My calculation is an alternative if the gross base is accepted.

Q. Did you reduce Brooks's direct subtotal?

A. No. I kept that conditional amount intact to isolate the disputed post-rejection choice.

Net deduction and sensitivities

Q. State your principal arithmetic.

A. 1.8 million dollars avoided minus 300,000 dollars incremental cost equals a 1.5 million dollar net deduction. From 4.2 million gross, that yields 2.7 million.

Q. Is your result robust to some reduction in benefit?

A. Yes. If gross avoidance were 1.2 million, net benefit would still be 900,000. If gross avoidance were 900,000, the net would be 600,000.

Q. What is the simple financial break-even?

A. Gross avoidance equal to 300,000 dollars, before considering other program value.

Q. Does a 300,000-dollar net verdict have possible arithmetic?

A. Yes. It could reflect 600,000 gross avoidance less 300,000 cost, though I believe the schedule supports more.

Q. Are you telling the jury the law requires your result?

A. No. I give an operations-economic opinion. The Court defines reasonable mitigation.

Q. Will you explain uncertainty further on cross?

A. Yes.

Q. Does the break-even observation itself determine legal reasonableness?

A. No. It is one economic lens; capability, risk, and necessary controls must also be weighed.

Q. Is the 1.5 million number gross or net?

A. Net, after the alternative expense.

Blue Ember begins cross-examination

MS. HOLT: Dr. Park, you did not participate in the October 4 decision, correct?

DR. PARK: Correct.

Q. You never transferred BE-214 into Cobalt Finch?

A. Correct.

Q. You did not conduct the proposed audit?

A. No.

Q. You cannot point to a contemporaneous numerical success probability?

A. No single percentage was recorded.

Q. Your “materially more likely” conclusion is your later expert judgment?

A. Yes, based on contemporaneous facts.

Q. If a critical equipment issue appeared in October, December could be lost?

A. Yes. The question is how the known evidence should weight that possibility.

Q. If Blue Ember had to keep Aurora Quay simultaneously, costs could rise?

A. They could, depending on contract and staffing choices.

Q. Did your principal model add a separate full parallel-site reservation cost?

A. No. I concluded the record supported a managed contingency rather than permanent duplication, but that assumption can be tested.

Q. Could a failed November gate reduce savings to zero?

A. In that scenario, yes, while some staged cost would remain.

THE COURT: We will stop here for the day. Dr. Park remains under oath. Jurors, do not discuss her unfinished testimony. Court resumes tomorrow morning.